

Roll No _____

B.Tech IV sem (Main/Back) Exam April-May 2026
Aeronautical Engg.
4AN1-03 Managerial Economics & Financial Accounting
Paper Code : 4E1302
All Branches

Time: 3 Hours**Maximum Marks: 70**

Attempt all ten questions from Part A, five questions out of seven questions from Part B and three questions out of five questions from Part C.

Schematic diagrams must be shown wherever necessary. Any data you feel missing suitably be assumed and stated clearly. Units of quantities used/ calculated must be stated clearly.

Use of following supporting material is permitted during examination. (Mentioned in form No.205)

1. _____

2. _____

Part A (Answer should be given up to 25 words only)**All questions are compulsory**

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~~Q.1~~ Define Managerial Economics. _____~~Q.2~~ What is the meaning of demand ?~~Q.3~~ Define monopoly?~~Q.4~~ What is the meaning of Cash Flow analysis?~~Q.5~~ What is the meaning of Oligopoly?~~Q.6~~ Define Financial statement analysis ?

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~~Q.7~~ Define opportunity cost ?~~Q.8~~ What is the meaning of survey method ?~~Q.9~~ What is payback Period ?

Q.10 Define Managerial Economics.

10 x 2 = 20

Part B (Analytical/Problem solving questions)**Attempt any Five questions**

Q.1 Discuss the importance of Managerial Economics in decision making.

Q.2 Define 'Demand' and explain the factors that influence the demand of product.

- Q.3 Calculate the BEP in units and rupees using the following details :
- Selling price per unit Rs. 100 .
 - Variable cost per unit Rs 60.
 - Fixed cost Rs. 20,000
 - Actual sales Rs. 2,00,000
- Q.4 Discuss the various concept of National income- Gross National products, Net National Product, Personal income and dispensable Income.
- Q.5 Define Balance Sheet ? Give two characteristics of Balance Sheet ?
- Q.6 Distinguish between Monopolistic competition and Perfect Competition ?
- Q.7 You are required to calculate.
- i) Margin of Safety
 - ii) Total sales
 - iii) Variable cost from the following figures
- Fixed costs Rs. 12, 000
Profit Rs. 1,000
Break-Even Sales Rs. 60,000

5 x 4 = 20

Part C(Descriptive/Analytical/Problem Solving/Design question)

Attempt any three questions

- Q.1 Define **Ratio Analysis**. Explain the importance of Liquidity and Profitability ratio for a firm.
- Q.2 How the price and output is determined under the perfect competition during the short period ?
- Q.3 Explain the concept of Market Equilibrium the context of Demand and Supply. Discuss how changes in demand and supply affect equilibrium price and quantity. Use diagrams to illustrate your answer.
- Q.4 Calculate the Net present value (NPV) of the two projects X and Y. Suggest which of the two projects should be accepted assuming a discount rate of 10%.

Item	Project -A	Project-B
Initial Investment	Rs. 80,000	Rs. 1,20,000
Life Period	5 years	5 years
Scrap Value	Rs. 4,000	Rs. 8000
(Annual Cash Inflows)	(CFAT)	(CFAT)
Year : 1	Rs. 74,000	Rs. 70,000
, 2	Rs. 36,000	Rs. 50,000
, 3	Rs. 14,000	Rs. 24,000
, 4	Rs. 10,000	Rs. 8,000
, 5	Rs. 8,000	Rs. 8,000

- Q.5 Define **Managerial Economics** and discuss its nature, scope, and relationship with other disciplines like statistics and Mathematics.

3 x 10= 30